

Lab 6 — Cost Guardrails

Hands-on Azure lab covering resource tags, budgets, alerts, and Azure Policy.

Goal

Set up basic cost tracking and use Azure Policy to control where resources can be deployed.

Main services

Azure Resource Groups · Azure Storage · Cost Management · Azure Policy

rg-gp-cost-guardrails · stgpcostguard65579770 · North Europe · Standard / LRS

1. Resource Tags

I added two tags to the resource group and the storage account: **environment = pilot** and **owner = it-team**. Tags make it easier to see who owns a resource and what it's for.

Home > Resource Manager | Resource groups > rg-gp-cost-guardrails

rg-gp-cost-guardrails | Tags ✕ ☆ ⋮

Resource group

Search ⌕ ⌵ ⌵ Delete all Feedback

Overview
Activity log
Access control (IAM)
Tags
Analyze (Preview)
Resource visualizer
Events
Settings
Cost Management
Monitoring
Automation
Help

Tags are name/value pairs that enable you to categorize resources and view consolidated billing by applying the same tag to multiple resources and resource groups. Tag names are case insensitive, but tag values are case sensitive. [Learn more about tags](#)

Do not enter names or values that could make your resources less secure or that contain personal/sensitive information because tag data will be replicated globally.

Name	Value
environment	pilot
owner	it-team

rg-gp-cost-guardrails (Resource group)
2 to be added

Apply Discard changes

Add or remove favorites by pressing Ctrl+Shift+F

Tags added to the resource group **rg-gp-cost-guardrails**.

Home > Storage center | Blob Storage > stgpcostguard65579770

stgpcostguard65579770 | Tags ✕ ☆ ⋮

Storage account

Search ⌕ ⌵ ⌵ Delete all Feedback

Overview
Activity log
Tags
Diagnose and solve problems
Access Control (IAM)
Data migration
Events
Storage browser
Storage Mover
Partner solutions
Resource visualizer
Data storage
Security + networking

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Name	Value
environment	pilot
owner	it-team

stgpcostguard65579770 (Storage account)
2 to be added

Apply Discard changes

Add or remove favorites by pressing Ctrl+Shift+F

The same tags added to the storage account **stgpcostguard65579770**.

2. Budget & Alerts

I created a monthly budget called **gp-pilot-budget**, with an alert at 80% of the budget and another at 100%. This means I'd get an email before the budget runs out, and again when it's fully used.

Home > Cost Management: MOC Subscription-Iod53238516 | Budgets

Create budget ...

Budget

* Alert conditions

Type	% of budget	Amount	Action group
Actual cost	80	8	None
Actual cost	100	10	None
Select type	Enter %	-	None

Manage action group ⓘ

* Alert recipients (email)

Budget alert conditions: 80% (~\$8) and 100% (~\$10) of the monthly budget.

3. Azure Policy

I assigned the built-in **Allowed locations** policy to the resource group and set **North Europe** as the only allowed location. This stops new resources from being created in other regions.

Home > Policy | Definitions > Allowed locations

Assign policy ...

BasicsParametersRemediationManaged identityNon-compliance messagesReview + create

Scope

Scope *

MOC Subscription-lod53238516/rg-gp-cost-guardrails

...

[Learn more about setting the scope](#)

Exclusions

Optionally select resources to exclude from the policy assignment.

...

Resource selectors (Expand)

Using resource selectors, you can further refine this assignment's applicability by targeting specific subsets of resources. Expand to learn more.

Basics

Policy definition *

Allowed locations

...

Version *

1.1.*

...

Using overrides, you can change the effects or referenced versions of

PreviousNextReview + create

Assigning the Allowed locations policy, scoped to *rg-gp-cost-guardrails*.

Testing the Policy

When I tried to deploy a test storage account in Norway East, it was blocked. The error pointed to a different policy already in the lab environment, called **AZ-900T00-A: Lab 06** — not the Allowed locations policy I had set up. I looked at this policy and found it also controls what can be deployed in this resource group. I didn't change or remove it, since it came with the lab. My own storage account stayed compliant the whole time.

Home > Storage center | Blob Storage

Create a storage account

Validation failed. View error details

BasicsAdvancedNetworkingData protectionSecurity

View automation template

Basics

Subscription

MOC Subscription-lod53238516

Resource group

rg-gp-cost-guardrails

Location

Norway East

Storage account name

notnortheuropepolicytest

Primary service

Azure Blob Storage or Azure Data Lake Storage

Performance

Standard

Replication

Locally redundant storage (LRS)

Advanced

Previous

Next

Create

Errors

SummaryRaw Error

Copy Full Error

ERROR VIEW

Resource 'notnortheuropepolicytest' was disallowed by policy. (Code: RequestDisallowedByPolicy, Policy(s): AZ-900T00-A: Lab 06 [Policy link](#))

WAS THIS HELPFUL?

Explain with Copilot

Troubleshooting Options

New Support Request

Give Feedback

Tell us about your experience with the Errors page

A test deployment ('notnortheuropepolicytest' in Norway East) blocked by the existing **AZ-900T00-A: Lab 06** policy.

Home > Resource Manager | Resource groups > rg-gp-cost-guardrails | Policies > Policy

Policy | Compliance

Suggest useful built-in Azure Policy definitions

List all assigned policies in my environment +1

Search

Non-compliant initiatives 0 out of 0

Non-compliant policies 0 out of 2

Compliance

Remediation

Events

Authoring

Definitions

Assignments

Machine Configuration

Exemptions

Enrollments (preview)

Name	Scope	Compliance	Resource	Non-compliant	Non-compliant
Allowed locations	MOC Subscripti...	Compliant	100% (1 out ...)	0	0
AZ-900T00-A: Lab 06	Lab Profile 215757	Compliant	100% (1 out ...)	0	0

Give feedback

Compliance check afterwards — both policies show Compliant.

What I Learned

- How to add tags to track cost and ownership.
- How to set up a budget with alerts.
- How to assign Azure Policy to control where resources can be created.
- That more than one policy can affect the same resource group, so I need to read the error message carefully to see which policy is actually blocking something.